Alphabet

Comps and AI transition drive search miss, AI foundation improving; Buy

Reiterate Rating: BUY | PO: 380.00 USD | Price: 324.89 USD

3Q Rev/EPS miss; Cloud growth remains a bright spot

3Q Net Rev/EPS at $111.2bn/$2.14 was below Street at $111.5bn/$2.96. Search grew 12% y/y & missed Street at 15% while Cloud grew 103%, above Street at 93%. 3Q Op. margin at 36.5% was below Street at 38.9% due to higher Opex ($35.6bn vs Street $34.5bn). However, Cloud margins at 36.2% were strong, while search margins missed. EPS was impacted by a 1x SpaceX mark to market of $8.7bn ($0.55 in EPS).

Search AI transition will fuel the bears, traffic accelerated

We est. y/y eX-FX search growth decelerated 3pts q/q in 3Q on 2pt tougher comp. despite accelerating y/y query growth. Google indicated traffic transition to Overviews was a small headwind in the Q, and likely bigger in Intl markets where ad loads are just starting to ramp. Tougher comps continue through 2Q'27, which could make Google a 2H'27 story. However, with ads in Intl. AI Overviews launching this quarter, better AI models being deployed, and commentary that ads are performing in Overviews, we think there is potential for a growth uptick as early as 1Q. Risks are Agentic integration, though Google sees Agentic as potentially improving the conversion funnel.

Raise 2027E net revenue by 11%, lower EPS by 1%

We raise revenue for Cloud beat, additional TPU sales in our model (now $75bn in '27E), and client facing SpaceX capacity add in 4Q, offset by lower Search, YouTube and subscription ests., which have higher margins. We have incorporated higher capacity costs, TPU sales and AI talent investment in our model, though COGS uncertainty is high at the stage of the buildout. For 2027E, we raise net revenue by 11% to $616bn & lower EPS by 1% to $14.87. We lower our PO to $380 (from $430) on revised 2027E EPS (ex-Other Bets) & lower 24x multiple (vs 27x) + cash, due to slowdown in high-margin search growth.

Search miss masks improving AI position; Buy

We acknowledge N.T Search risks, but Google's AI traffic strength & strong execution through prior tech. transitions & competitive ad-platform ad ramps gives us confidence in ability to navigate this cycle. Google's new Carbon LLM is leading in intelligence, while its TPU infrastructure has increasing external demand, we believe Google's AI position is improving for cloud/agentic. At AH price of ~$291, stock at ~19x our revised adj '27E EPS (16x '28E), with core search at just ~10x EPS in SOTP. Also, early-stage bets like Waymo & quantum computing offer meaningful long-term optionality, not in valuation. Buy.

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E
EPS	8.04	10.81	19.43	14.87	18.42
EPS Change (YoY)	38.6%	34.5%	79.7%	-23.5%	23.9%
Consensus EPS (Bloomberg)			18.96	16.03	19.85
Consensus EPS (Visible Alpha)			20.35	15.26	18.37
DPS	0.60	0.63	0.71	0.80	0.90
EPS (GOOG - US$)	8.04	10.81	19.43	14.87	18.42
DPS (GOOG - US$)	0.60	0.63	0.71	0.80	0.90
Valuation (Dec)					
P/E	40.4x	30.1x	16.7x	21.8x	17.6x
Dividend Yield	0.2%	0.2%	0.2%	0.2%	0.3%
EV / EBITDA*	27.1x	23.3x	17.7x	12.9x	9.9x
Free Cash Flow Yield*	1.8%	1.8%	-0.6%	-1.3%	-0.1%

* For full definitions of IQmethod℠ measures, see page 12.

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Refer to important disclosures on page 13 to 16. Analyst Certification on page 11. Price Objective Basis/Risk on page 11. 13035943

Timestamp: 29 October 2026 01:47AM EDT

29 October 2026

Equity

Key Changes

(US$)	Previous	Current
Price Obj.	430.00	380.00
2026E Rev (m)	433,587.4	438,255.4
2027E Rev (m)	552,793.7	615,657.8
2028E Rev (m)	701,204.7	792,682.1
2026E EPS	20.58	19.43
2027E EPS	15.01	14.87
2028E EPS	18.58	18.42

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Stock Data

Price (NAS / NAS)	324.89 USD / 321.89 USD
Price Objective	380.00 USD / 380.00 USD
Date Established	29-Oct-2026 / 29-Oct-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	267.67 USD - 408.61 USD
Market Value (mn)	4,033,509 USD
Free Float	98.4%
Average Daily Value	8640.06 USD
Shares Outstanding (mn)	12,415.0 / 12,415.0
BofA Ticker / Exchange	GOOGL / NAS
BofA Ticker / Exchange	GOOG / NAS
Bloomberg / Reuters	GOOGL US / GOOGL.OQ
ROE (2026E)	41.9%
Net Dbt to Eqty (Dec-2025A)	8.9%

GCP: Google Cloud Platform
OM: Operating Margins
AIO: AI Overviews
SOTP: Sum of the parts

*iQ*profile℠ Alphabet

iQmethod℠ **– Bus Performance***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.2%	37.6%	37.7%	21.8%	22.3%
Return on Equity	35.3%	37.8%	41.9%	22.6%	22.2%
Operating Margin	45.8%	44.9%	45.2%	42.7%	41.7%
Free Cash Flow	72,764	73,266	(24,406)	(51,807)	(3,024)

iQmethod℠ **– Quality of Earnings***

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.2x	0.7x	1.4x	1.6x
Asset Replacement Ratio	3.4x	4.3x	6.2x	6.1x	4.5x
Tax Rate	16.4%	16.8%	18.6%	17.6%	17.5%
Net Debt-to-Equity Ratio	1.7%	8.9%	9.4%	10.9%	11.7%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	295,118	342,910	438,255	615,658	792,682
% Change	15.1%	16.2%	27.8%	40.5%	28.8%
Gross Profit	203,712	240,301	302,878	391,536	483,188
% Change	17.0%	18.0%	26.0%	29.3%	23.4%
EBITDA	150,486	175,128	229,902	315,627	412,434
% Change	21.9%	16.4%	31.3%	37.3%	30.7%
Net Interest & Other Income	(15,360)	4,834	96,590	(36,035)	(46,835)
Net Income (Adjusted)	**100,076**	**132,206**	**239,781**	**186,942**	**233,989**
% Change	**35.6%**	**32.1%**	**81.4%**	**-22.0%**	**25.2%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	100,118	132,170	239,810	186,932	233,989
Depreciation & Amortization	15,311	21,136	31,724	52,856	81,856
Change in Working Capital	(9,343)	618	(29,139)	(4,901)	(5,849)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	19,213	10,789	(69,181)	33,360	57,160
Capital Expenditure	(52,535)	(91,447)	(197,620)	(320,053)	(370,180)
Free Cash Flow	**72,764**	**73,266**	**-24,406**	**-51,807**	**-3,024**
% Change	**4.7%**	**0.7%**	**NM**	**-112.3%**	**94.2%**
Share / Issue Repurchase	(8,879)	(2,269)	(22,892)	(17,500)	(19,100)
Cost of Dividends Paid	(7,363)	(7,616)	(8,668)	(9,995)	(11,389)
Change in Debt	(2,423)	(6,333)	(11,028)	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	24,048	30,708	94,595	62,237	25,217
Trade Receivables	47,964	62,886	82,978	113,010	144,024
Other Current Assets	99,518	112,444	199,478	176,057	189,482
Property, Plant & Equipment	134,345	246,597	428,725	695,950	984,332
Other Non-Current Assets	96,517	142,646	256,020	256,820	257,620
Total Assets	**402,392**	**595,281**	**1,061,796**	**1,304,074**	**1,600,676**
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	81,814	102,745	142,278	185,288	228,342
Long-Term Debt	28,725	67,740	163,379	163,179	162,979
Other Non-Current Liabilities	8,474	9,531	27,833	27,833	27,833
Total Liabilities	**119,013**	**180,016**	**333,490**	**376,300**	**419,154**
Total Equity	**283,379**	**415,265**	**728,307**	**927,774**	**1,181,522**
Total Equity & Liabilities	**402,392**	**595,281**	**1,061,796**	**1,304,074**	**1,600,676**

* For full definitions of *iQ*method℠ measures, see page 12.

Company Sector

Internet/e-Commerce

Company Description

Alphabet is a global technology company focused on search, advertising, operating systems and platforms, enterprise solutions, and hardware products. The company generates revenue primarily through Online advertising and Cloud solutions, but also offers products such as YouTube TV, Pixel Phones and Waymo ride services. The company provides its products and services in 190 countries, regions, and territories.

Investment Rationale

We rate Alphabet Buy. We see Alphabet as well positioned long term with leading AI technology (Gemini LLM and data center infrastructure) to apply to its search, YouTube, and Cloud businesses. Alphabet should benefit from increasing AI demand from both consumers and enterprises. We believe that Alphabet should trade at a premium to a its Internet peer group given technology leadership, high core search margins and cash generation, and strong Cloud position.

Stock Data

Average Daily Volume	26,593,810
Shares / Common - Dual Listed	1.00

Quarterly Earnings Estimates

	2025	2026
Q1	2.81A	5.11A
Q2	2.31A	9.11A
Q3	2.87A	2.14E
Q4	2.82A	3.10E

Key Changes

(US$)	Previous	Current
Price Obj.	430.00	380.00
2026E EPS	20.58	19.43
2027E EPS	15.01	14.87
2028E EPS	18.58	18.42

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3Q Summary and thoughts on the stock

3Q Net Rev/EPS at $111.2bn/$2.14 was below Street at $111.5bn/$2.96. Search grew 12% y/y, with estimated y/y ex-FX growth decelerating 3pts q/q in 3Q on 2pt tougher comp. Cloud grew 103%, above Street at 93% and backlog grew 9% q/q to $561bn (+$47bn q/q). YouTube & Subscription revenues also missed. 3Q OM at 36.5% was below Street at 38.9% due to higher Opex ($35.6bn vs Street $34.5bn). However, Cloud margins 36.2% were above Street 33.7% while core service margins at 40.7% were below Street 41.6%. 3Q EPS was impacted by $8.7bn 1x charge in Other Income.

Key drivers for the stock (revenue trends, y/y core margin trends, use of capital and new disclosures, and relative growth vs competition) were mixed in 3Q.

1. **Revenue Trajectory:**
    - Net revenue (miss): grew 27% (vs Street 28%), stable q/q on 3pt tougher y/y comp,
    - Search (miss): grew 12% y/y (vs Street 15%), decelerating 5pts on 3pts tougher y/y comp; ex-FX, we estimate growth decelerated 3pts q/q to 12% on a 2pt tougher y/y comp,
    - YouTube (miss): grew 9% y/y (vs Street 12%), decelerating 4pts q/q on 2pts tougher comp, and
    - Cloud (beat): grew 103% (vs Street 92%), accelerating 21pts q/q on a 2pt tougher y/y comp. Based on the $3.6bn q/q Cloud expense growth, we estimate TPU sales increased from $600mn in 2Q to $3bn in 3Q.
2. **Margin Trajectory:**
    - GAAP operating margins (miss): 36.5% (vs Street 38.9%), up 78bps y/y (and down 286bps q/q)
    - Core services margins (miss): 40.7% (vs Street 41.6%)
    - Cloud margins (beat): 36.2% (vs Street 33.7%)
    - Opex: $35.6bn (up 20% y/y) vs Street $34.5bn; R&D of $20.6bn was above Street at $19.5bn.
    - Headcount: 204.8K (up 8% y/y and 5,824 q/q) vs Street 200.5K
    - D&A: $8.4bn (up 49% y/y) vs Street $8.9bn
3. **Capital Allocation:**
    - Share buybacks: Alphabet did not repurchase any shares in 3Q, and 3Q FCF was negative $9.1bn. Google raised $12.4bn in the quarter from ATM issuance,, with $27.6bn still available.
    - Dividend: unchanged at $0.22 per share.
4. **Relative growth vs competition:**
    - **Advertising:** Google properties revenue (ex-FX) grew 12% y/y, decelerating 3pts q/q on a 2pt tougher y/y comp, vs Meta Advertising (ex-FX) revenue growth of 26% (stable vs 2Q), on 3pts tougher comp.
    - **Cloud:** Google Cloud grew 103% y/y (vs Street 92%), accelerating 21pts q/q on 2pts tougher y/y comp vs Azure growth of 48% y/y, accelerating 6pts q/q on stable y/y comp, and Street expectations for AWS to accelerate 3pts q/q to 40% on 3pts tougher comp. We estimate Cloud growth ex-workspace was 115%. TPU sales were a meaningful contributor to growth (we estimate $3bn sales in 3Q).

In our view, the quarter will:

- **Fuel concerns around AI traffic disruption**: The Search miss could heighten concerns around the impact from transition of search traffic to AI formats, advertisers shifting budgets to competitors, and pressure from competing agentic offerings. While growth could decelerate further through 1Q'27 on tougher comps, 3Q results suggest the slowdown largely reflects y/y comparison pressure, and lack of Intl AI Overviews monetiation. Underlying

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Search volumes remain healthy, with management noting that 3Q query growth was the highest in five years. The rollout of agentic capabilities and advertising within the Gemini app (~1bn MAUs), remain potential catalysts,

- **Reinforce Google's full-stack Cloud advantage**: Gemini LLM releases and TPU innovation are strengthening Google Cloud's differentiation, unit economics and competitive positioning, supporting durable growth and margin expansion; we believe AI tailwinds remain in the early stages, and rollout of Gemini 4.0 Carbon and growing TPU demand could drive upside to Street estimates,
- **Increase focus on the consumer agentic opportunity and transition:** Following recent launches from competing platforms, Street focus on Google's ability to deliver a competitive consumer agent remains high. Management expects to launch the Gemini agent experience later this year, initially to the app's ~1bn users, with additional progress across product surfaces through 2027. Google is prioritizing quality, safety and trust, supported by extensive testing and real-time monitoring, before scaling broadly.
- **Raise uncertainty on 4Q estimates:** On the call, Google highlighted continuing 4Q pressure on search growth from tougher comps, margin headwinds from addition of external capaicity, and provided no clarity on expected TPU sales or margins. The extra capacity is for an external client and should drive accelerationg Cloud growth, and TPU sales could drive upside to estimates, but Street could have added margin caution into 4Q results in January.

Why to buy the stock:

- **Further Cloud acceleration and upside:** Google Cloud has been growing well above the broader industry, and we see potential for further Cloud upside, driven by: 1) new capacity coming online accelerating backlog conversion, 2) growing traction of Google's differentiated AI assets (Gemini 4.0 Carbon and TPUs) that offer potential performance and cost advantages, and 3) ramp of external TPU sales. Google's 3Q backlog of $561bn (+$47bn q/q) suggests Google Cloud will generate at least ~$309bn in sales over the next 8 quarters, and this this doesn't include upside vs commitments, "spot" revenues, and new deals that Google is likely to sign. We see potential for significant Cloud acceleration in 4Q (to 130% y/y) on additional client facing capacity launches and accelerating TPU sales.
- **Leading edge model release underappreciated:** Despite concerns on AI talent departures, Google's newly released Gemini 4 Carbon model is leading Artificial Analysis intelligence rankings, and should see strong adoption on Google Cloud Platform. Also, new model capabilities could provide a boost to search performance, Google's agentic initiatives and provide a position foundation for new model development. We believe Google's AI position has improved over the past quarter given recent Gemini 4 model releases and accelerating external Cloud infrastructure (TPU) demand..
- **Lower Search expectations create upside potential**: Search growth expectations will be reset following the quarter, providing a lower bar for future outperformance. The rollout of agentic capabilities and advertising within Overviews and the Gemini app, which has ~1bn MAUs, remain key catalysts. Google indicated that consumers are responding positively to ads in AI formats.
- **Attractive valuation:** At AH GOOG price of ~$291, Alphabet is trading at ~19x our revised 2027E GAAP EPS (16x 2028E PE). This multiple is below Google's historical average despite our outlook for 40% 2027 revenue growth, well above the 2023-2025 average of 14%. In our sum of parts analysis, using a

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7.5x revenue multiple on Cloud, or 26x EPS, Google's core ad and Google Play businesses are valued at 10x vs S&P 500 at 18x.

Next catalysts: Broader launch of Gemini 4.0 models, Cloud AI revenue ramp on new model, rollout of agentic search features, and ramping TPU monetization. Risks are: Tough 4Q comps and accelerating AI Overviews activity could drive further deceleration in search growth, high-profile model and Agentic product launches by competitors.

We acknowledge N.T Search risks, but Google's AI traffic strength & strong execution through prior tech. transitions & competitive ad-platform ad ramps gives us confidence in ability to navigate this cycle. Google's new Carbon model is leading in intelligence, and combined leading TPU infrastructure, we believe Google remains well positioned for strong Cloud returns. Reiterate Buy.

3Q Positives:

- **Beat on Cloud revenues & margins:** 3Q Cloud revenue at $30.7bn (up 103% y/y) was above Street at $29.2bn (up 92% y/y). Cloud operating income more than tripled y/y to $11.1bn (vs Street $9.8bn), and margin expanded q/q to 36.2% (vs Street 33.7%).
- **Ramping TPU contribution to Cloud growth:** Google indicated TPU sales contributed meaningfully to Cloud growth in 3Q. The customer base has grown to ~100, including Apple, and new partnerships with Oracle and Crux AI further broaden distribution. Google expects TPU sales to scale further in 4Q with a meaningful revenue ramp in 2027.
- **Gemini 4 Carbon strengthens model leadership:** Google launched Gemini 4 Carbon, its most advanced frontier model, which ranks first on the Artificial Analysis Intelligence Index with a score of 59, ahead of competing frontier models. A leading model could strengthen Gemini model demand in GCP, which is high margin, and drive product improvements across Google's consumer facing business
- **Underlying Search usage accelerating:** Management highlighted Search query 3Q y/y growth reached its highest rate in five years as AI experiences expanded engagement and query volume. AI Mode queries run 3x longer than traditional searches, and the majority are incremental, creating new monetization opportunities. Google is expanding AI Mode ads internationally and launching multi-turn ads in the US.
- **Rapidly ramping Gemini & Cloud usage:** First-party model APIs now process nearly 32bn tokens per minute, up 40% q/q and more than 4x y/y. Adoption is broadening across enterprises and consumers, with nearly 90% of the Fortune 100 now using Gemini Enterprise. Gemini app has also reached 1bn users, making it the fastest-growing product in Google's history.
- **AI-driven coding productivity gains:** Teams across Chrome, Ads and Search used Gemini Argon to ship 35% more code with 30% fewer errors. These productivity improvements could accelerate product development while supporting greater R&D efficiency.
- **Accelerating model development**: AI is increasing Google's model-training and product-launch velocity and expect further acceleration over the next 12 months. Faster innovation could help Google sustain its frontier-model momentum. Google also plans to launch additional models optimized for speed and cost. Greater model efficiency should support broader developer adoption and deployment.

3Q Negatives:

- **3Q Revenue miss**: 3Q net revenue of $111.2bn (up 27% y/y) was below Street at $111.5bn, as miss in Search, YouTube and subscription rveenues more than offset upside in Cloud and Network.
- **Higher expenses weigh on 3Q EPS:** Excluding the $8.7bn one-time expense in Other Income, EPS would have been $2.84, below the Street at $2.96, due to lower revenue and higher opex of $35.6bn (vs. Street's $34.5bn). Higher opex was driven by growing D&A and SBC expenses, reflecting growing investment in AI talent and infrastructure.
- **Miss on Search revenue**: 3Q Search revenue at $63.3bn (up 12% y/y) was below Street at $64.9bn (up 15% y/y), decelerating 5pts q/q on a 3pt tougher comp. ex-FX Search growth decelerated 3pts q/q on 2pts tougher comp. Headwinds included weaker APAC retail spending following the EU's removal of its de minimis exemption, normalization in media spending after the World Cup-driven strength in 2Q, and a growing mix of lower-monetizing AI Mode queries. We expect a reset on search growth expectations.
- **Miss on YouTube and SPD revenues:** 3Q YouTube revenue at $11.2bn (up 9% y/y) and Subscription, Platform and Devices (SPD) revenue at $14.3bn (up 11% y/y) were below Street at $11.4bn and $14.8bn respectively, with YouTube growth decelerating 4pts q/q on 2pts tougher comp. We expected better YouTube results with the aid of political advertising. Transition to ad-free subscribers likely continues to pressure ad growth rates.
- **FCF pressure and significant capital commitments:** 3Q FCF was negative $9.1bn (vs Street negative $4.1bn), driven by $51.4bn of capex, TPU inventory build and a $5.2bn EC fine payment. FY26 capex guidance was unchanged at $195-$205bn, and Alphabet expects capex to increase significantly in 2027. Alphabet ended 3Q with $924bn pre-commencement leases and other obligations of $152bn.
- **Near-term Cloud margin pressure:** Given supply constraints, Google began using higher-cost third-party bridging capacity late in 3Q, with usage expected to ramp in 4Q and pressure Cloud margins in the near term.
- **Headcount above estimates:** 3Q headcount at 204.8K (up 8% y/y, +5.8K q/q) was above Street at 200.5K and could create future margin headwinds.

Read-across for AWS

AWS - Google Cloud and Azure beat, a positive read across for AWS

In 3Q, Google Cloud revenue grew 103% y/y (vs Street 92%), with growth accelerating 21pts q/q on 2pts tougher y/y comp. Micorsoft Azure grew 48% y/y (vs Street 44%), accelerating 6pts q/q on stable y/y comp. We see Google and Microsoft results as a positive read across for AWS 3Q revenues, as increasing capacity should drive an acceleration for AWS growth. However, the magnitude of Google's 3Q growth acceleration, with benefit from chip sales, will likely outperform AWS. We estimate 3pts acceleration in AWS growth to 40% in 3Q on 3pts tougher y/y comp., vs Street at 38%, and we think upside to Street street expectations at around 42% is possible based on Google results.

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Valuation

PO change: We lower our PO to $380 based based on 1% lower adjusted 2027 GAAP EPS of $15.49 (excludes Other Bets losses) and and lower 24x (vs 27x previously) multiple reflecting lower margins, plus cash. We think Alphabet deserves a premium to the market and recent average historical multiples given accelerating growth vs the 2023-2025 period.

Exhibit 1: We lower our PO to $380
Alphabet valuation

	2027 GAAP
Other Bets losses (mn)	($10,058)
Estimated Tax Savings	$1,710
Other Bets Losses ex-Tax	($8,348)
2026 Diluted Shares	12,341
GAAP EPS Impact	($0.68)
2027E Total GAAP EPS	$14.87
Implied GAAP P/E	26x
Adjusted EPS*	$15.49
Applying a target PE multiple	24x
Implied valuation / Share	**$370**
Plus YE26 cash/share	$10
Price objective	**$380**

Source: BofA Global Research

BofA GLOBAL RESEARCH

Sum of the parts valuation

At the AH GOOG stock price of ~$291, Alphabet stock valued at 19x our revised GAAP 2027 EPS, vs a 14-year historical range of 13-30x and 10-year average of 22x. Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and ~$8.3bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising & Play businesses at 10x 2026E earnings, a discount to the S&P 500 at 18x.

Exhibit 2: Sum-of-the-Parts and Core Valuation Analysis on 2027 estimates
Alphabet core services sum-of-the-parts valuation analysis based on GOOG share price of ~$291

Alphabet Sum of the Parts Valuation (2027 Estimates)						
	Mkt Cap	Net Revenue	P/S	Net income	P/E	Comment
Alphabet Total	$3,591	$616	5.8x	$187	19x	
YouTube	($148)	($49)		($6.1)	24x	3x revenues (peers at 2-5x), assumes 15% profit margin and a 17% tax rate
Subscription	($166)	($42)		($3.4)		Assumes 4x P/S multiple and 10% margin & 17% tax rate
Google Cloud	($1,965)	($262)		($75.0)	26x	Assumes 7.5x P/S and 35% margins in 2027 and a 17% tax rate
Waymo	($83)	$0		$0.0		Reflects time horizon, potential technology value at $110bn valuation and 75% stake
Other Bets losses		($2)		$8.3		Waymo loss included, and incorporates a 17% tax rate
YE'26 Net Cash & Equivalents	($128)			($3.2)		Excludes net cash, est. 3% interest income and 17% tax rate
Google core services	$1,102	$261	4.2x	$108	10x	

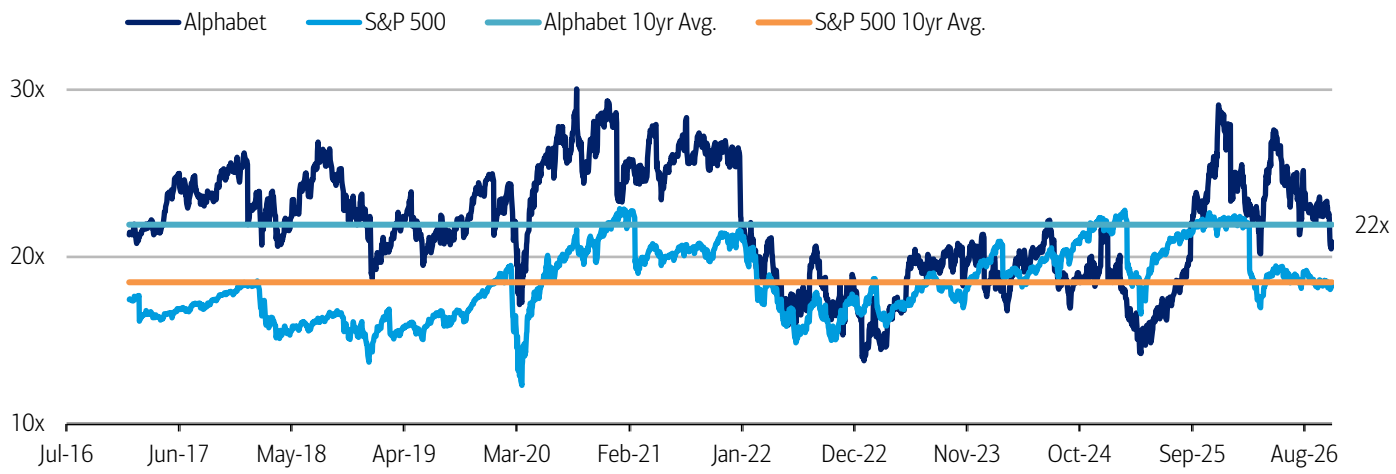
Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

At the AH price of ~$291, Alphabet trading at 19x our revised 2027 GAAP EPS vs a 2yr forward GAAP PE historical average of 22x and 10-year historical range of 14-30x. In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 which is now valued 18x (assuming 2027 GAAP EPS of $420).

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Exhibit 3: At the AH price of ~$291, Alphabet is currently valued at 19x our revised 2027E GAAP EPS
Alphabet & S&P 500 2yr Forward GAAP PE Multiple



Source: Bloomberg

BofA GLOBAL RESEARCH

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Estimate changes

We raise our revenue estimates to reflect stronger Cloud and Network growth, partly offset by slower Search, YouTube and subscription growth. We also raise Other Cost of Revenue to reflect TPU hardware sales and expenses associated with short-term capacity leasing, while increasing opex for higher infrastructure costs and AI talent investment. For 2027, we raise our net revenue estimate by 11% to $616bn but lower EPS by 1% to $14.87. We now forecast capex of $320bn, up 62% y/y, D&A of $53bn and negative FCF of $52bn.

Exhibit 4: We are lowering our 2027 GAAP EPS estimate by 1% to $14.87
Alphabet Estimate Changes

	4Q'26 Estimates			1Q'27 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Google Search	$71,282	$69,605	($1,677)	$67,707	$65,895	($1,812)	$259,644	$256,625	($3,020)	$289,535	$282,166	($7,370)
YouTube	$12,749	$12,635	($114)	$10,970	$10,871	($99)	$44,974	$44,780	($194)	$49,921	$49,260	($662)
Google Network Websites	$7,671	$7,906	$235	$6,832	$7,061	$230	$29,226	$29,635	$409	$28,641	$29,347	$706
Google Cloud	$34,353	$40,842	$6,489	$37,798	$49,152	$11,354	$108,437	$116,347	$7,910	$190,881	$261,950	$71,069
Subscription, platforms and devices	$15,361	$15,138	($223)	$14,178	$13,853	($325)	$55,458	$54,723	($735)	$63,328	$61,627	($1,701)
Google Gross Revenue	$141,416	$146,126	$4,710	$137,485	$146,833	$9,348	$497,739	$502,110	$4,371	$622,307	$684,349	$62,042
Traffic Acquisition Costs (TAC)	$17,973	$17,996	$22	$16,517	$16,535	$18	$65,766	$65,769	$2	$71,163	$71,088	($75)
Google Net Revenue (ex-TAC)	**$123,881**	**$128,759**	**$4,878**	**$121,441**	**$130,996**	**$9,555**	**$433,587**	**$438,255**	**$4,668**	**$552,794**	**$615,658**	**$62,864**
Y/Y	*27%*	*32%*	*5.0%*	*28%*	*38%*	*10.1%*	*26%*	*28%*	*1.4%*	*27%*	*40%*	*13.0%*
Other Bets Revenues	$389	$400	$11	$423	$448	$25	$1,539	$1,565	$25	$1,600	$1,717	$117
Y/Y	*5%*	*8%*	*3.0%*	*3%*	*9%*	*6.0%*	*0%*	*2%*	*1.6%*	*4%*	*10%*	*5.8%*
Consolidated Gross Revenue	$141,855	$146,755	$4,901	$137,958	$147,531	$9,573	$499,354	$504,024	$4,670	$623,957	$686,746	$62,789
Consolidated Net Revenue (ex-TAC)	**$123,881**	**$128,759**	**$4,878**	**$121,441**	**$130,996**	**$9,555**	**$433,587**	**$438,255**	**$4,668**	**$552,794**	**$615,658**	**$62,864**
Y/Y	27%	32%	5%	28%	38%	10%	26%	28%	1%	27%	40%	13%
Other Costs of Revenue	$38,681	$44,517	$5,836	$34,813	$43,627	$8,814	$128,419	$135,377	$6,958	$169,726	$224,122	$54,396
Gross Profit	$85,200	$84,242	($958)	$86,628	$87,369	$741	$305,168	$302,878	($2,290)	$383,068	$391,536	$8,468
Gross Profit Margin	*68.8%*	*65.4%*	*-3.3%*	*71.3%*	*66.7%*	*-4.6%*	*70.4%*	*69.1%*	*-1.3%*	*69.3%*	*63.6%*	*-5.7%*
Research and Dev.	$21,646	$22,704	$1,058	$22,339	$23,158	$819	$76,756	$78,595	$1,839	$100,456	$103,601	$3,145
Sales and Mktg	$9,633	$9,993	$360	$8,862	$9,193	$331	$34,129	$34,806	$677	$39,492	$41,179	$1,687
G & A	$6,047	$6,997	$950	$5,261	$6,158	$896	$21,968	$23,887	$1,919	$22,512	$26,545	$4,033
Total Operating Expenses	$37,326	$39,694	$2,368	$36,462	$38,509	$2,047	$132,853	$137,288	$4,435	$162,459	$171,325	$8,866
% of net rev	*30%*	*31%*	*1%*	*30%*	*29%*	*-1%*	*31%*	*31%*	*1%*	*29%*	*28%*	*-2%*
Operating Income - GAAP	**$47,874**	**$44,548**	**($3,325)**	**$50,166**	**$48,860**	**($1,306)**	**$172,315**	**$165,590**	**($6,725)**	**$220,609**	**$220,211**	**($398)**
Margin	*39%*	*35%*	*-4%*	*41%*	*37%*	*-4%*	*40%*	*38%*	*-2%*	*40%*	*36%*	*-4%*
Incremental Margin	*45%*	*27%*	*-17%*	*39%*	*25%*	*-14%*	*48%*	*38%*	*-9%*	*41%*	*31%*	*-10%*
SBC	$8,677	$9,250	$573	$8,577	$9,150	$573	$31,542	$32,588	$1,046	$39,368	$42,560	$3,192
Operating Income - non-GAAP	**$56,551**	**$53,798**	**($2,752)**	**$58,743**	**$58,010**	**($733)**	**$203,857**	**$198,178**	**($5,679)**	**$259,977**	**$262,771**	**$2,794**
% of net rev	*45.6%*	*41.8%*	*-3.9%*	*48.4%*	*44.3%*	*-4.1%*	*47.0%*	*45.2%*	*-1.8%*	*47.0%*	*42.7%*	*-4.3%*
D&A	$9,314	$9,769	$455	$10,434	$10,889	$455	$30,914	$31,724	$810	$50,736	$52,856	$2,120
Stock-based Compensation	$8,677	$9,250	$573	$8,577	$9,150	$573	$31,542	$32,588	$1,046	$39,368	$42,560	$3,192
Adj. EBITDA	**$65,865**	**$63,567**	**($2,297)**	**$69,177**	**$68,899**	**($278)**	**$234,771**	**$229,902**	**($4,869)**	**$310,713**	**$315,627**	**$4,914**
Margin	*53.2%*	*49.4%*	*-3.8%*	*57.0%*	*52.6%*	*-4.4%*	*54.1%*	*52.5%*	*-1.7%*	*56.2%*	*51.3%*	*-4.9%*
Interest income and other, net	$2,100	$1,700	($400)	$1,800	$1,600	($200)	$139,599	$129,178	($10,421)	$7,325	$6,525	($800)
Income pre-tax and acct. change	$49,974	$46,248	($3,725)	$51,966	$50,460	($1,506)	$311,914	$294,768	($17,146)	$227,934	$226,736	($1,198)
Provision for tax	$8,296	$7,677	($618)	$8,730	$8,477	($253)	$57,288	$54,958	($2,330)	$38,052	$39,804	$1,752
Effective tax rate (Reported)	*16.6%*	*16.6%*	*0.0%*	*16.8%*	*16.8%*	*0.0%*	*18.4%*	*18.6%*	*0.3%*	*16.7%*	*17.6%*	*0.9%*
Net income - GAAP	$41,678	$38,571	($3,107)	$43,236	$41,983	($1,253)	$254,626	$239,810	($14,816)	$189,882	$186,932	($2,950)
Net income - non-GAAP	$48,915	$46,285	($2,629)	$50,372	$49,596	($776)	$280,524	$266,579	($13,946)	$222,637	$222,158	($478)
Diluted GAAP EPS	**$3.33**	**$3.10**	**($0.23)**	**$3.44**	**$3.36**	**($0.08)**	**$20.58**	**$19.43**	**($1.14)**	**$15.01**	**$14.87**	**($0.14)**
Diluted shares	12,527	12,448	(79)	12,587	12,508	(79)	12,375	12,341	(34)	12,650	12,572	(79)
Capital expenditures	$63,179	$65,667	$2,488	$68,007	$69,428	$1,421	$199,488	$197,620	($1,868)	$300,573	$320,053	$19,481
Headcount	204,933	206,457	1,524	208,833	210,657	1,824	204,933	206,457	1,524	219,733	223,457	3,724

Source: BofA Global Research estimates

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Actual vs Expected Results

Exhibit 6: 3Q'26 Net Revenue/EPS was below Street
Alphabet actual vs estimates ($ in millions)

3Q'26 Actual vs Street vs BofA

Alphabet Actual vs Street Results	BofA	Street	Actual	Act vs Street	Act vs BofA
Google segment Revs					
Google Search & other	**$64,693**	**$64,867**	**$63,350**	**($1,517)**	**($1,343)**
y/y %	*14.4%*	*14.7%*	*12.0%*		
YouTube ads	$11,287	$11,449	$11,207	($242)	($80)
y/y %	*10.0%*	*11.6%*	*9.2%*		
Network Revenue	$7,280	$7,231	$7,455	$224	$175
y/y %	*(1.0%)*	*(1.7%)*	*1.4%*		
Google Cloud Revenue	**$29,287**	**$29,152**	**$30,709**	**$1,557**	**$1,422**
y/y %	*93%*	*92%*	*103%*		
Subscriptions & Devices	$14,802	$14,756	$14,290	($466)	($512)
y/y %	*15%*	*15%*	*11%*		
Other Bets Segment Revs	$358	$378	$372	($6)	$14
y/y %	*4%*	*10%*	*8%*		
Consolidated Gross Revenue	**$127,807**	**$127,859**	**$127,577**	**($282)**	**($230)**
TAC	$16,386	$16,523	$16,366	($157)	($20)
Google Net Revenue	**$111,421**	**$111,531**	**$111,211**	**($320)**	**($210)**
y/y %	*27%*	*28%*	*27%*	*-0.4%*	*-0.2%*
Other cost of revenue	$33,931	$33,523	$35,053	$1,530	$1,122
Research and Development	$19,859	$19,470	$20,640	$1,170	$781
Sales and Marketing	$8,487	$8,790	$8,804	$14	$317
General & Administrative	$5,169	$6,262	$6,138	($124)	$969
Total Opex	$33,515	$34,483	$35,582	$1,099	$2,067
y/y %	*13%*	*16%*	*20%*	*4%*	*7%*
GAAP Operating Income	**$43,976**	**$43,398**	**$40,576**	**($2,822)**	**($3,400)**
Margin	*39.5%*	*38.9%*	*36.5%*	*-2%*	*-3%*
Core services revenue	$98,062	$98,315	$96,302	($2,013)	($1,760)
Core services OI (GAAP)	$41,874	$40,851	$39,157	($1,694)	($2,717)
Core services margin	*42.7%*	*41.6%*	*40.7%*	*-1%*	*-2%*
Cloud OI (GAAP)	$10,251	$9,826	$11,121	$1,295	$870
Cloud Margin	*35.0%*	*33.7%*	*36.2%*	*3%*	*1%*
D&A	$8,014	$8,879	$8,369	($510)	$355
SBC	$8,157	$8,049	$8,630	$581	$473
Adj EBITDA	$60,147	$60,340	$57,575	($2,765)	($2,572)
Margin	*54.0%*	*54.1%*	*51.8%*	*-2.3%*	*-2.2%*
Other Income	$1,800	$535	-$8,221	($8,756)	($10,021)
Income before taxes	$45,776	$44,097	$32,355	($11,742)	($13,421)
Taxes	$7,599	$7,619	$5,887	($1,732)	($1,712)
Tax Rate %	*17%*	*17%*	*18%*	*1%*	*2%*
GAAP EPS	**$3.07**	**$2.96**	**$2.14**	**($0.82)**	**($0.93)**
Diluted Shares	12,427	12,335	$12,368	33	(59)
Headcount	203,433	200,459	$204,757	4,298	1,324
q/q %	*2%*	*1%*	*3%*		
US Gross Revenue	$65,821	$63,802	$67,681	$3,879	$1,860
EMEA Gross Revenue	$33,473	$35,514	$32,695	($2,819)	($778)
APAC Gross Revenue	$21,075	$21,566	$19,906	($1,660)	($1,169)
Other Americas Gross Revenue	$7,438	$7,913	$7,101	($812)	($337)

Source: BofA Global Research estimates, Company Filings, Visible Alpha

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Price objective basis & risk

Alphabet (GOOGL / GOOG)
Our $380 price objective for GOOGL and GOOG is based on 24x our 2027E GAAP EPS for core Google, plus est. net cash per share. We believe Google warrants a premium to the S&P (18x) given above market growth, a strong consumer & enterprise position, and leading AI assets.

Downside risks are 1) loss of search traffic to AI products from competitors, 2) transition to AI results search may negatively impact search revenues, 3) uncertainty on investment returns on unprecedented capex investment cycle, and 4) potential for pressure on EPS and FCF estimates given AI investments.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Justin Post
	Ethos	LIFE	LIFE US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Unity	U	U US	Omar Dessouky, CFA
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	eBay	EBAY	EBAY US	Michael McGovern
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Snap	SNAP	SNAP US	Justin Post
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	Bending Spoons SpA	BSP	BSP US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA

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US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

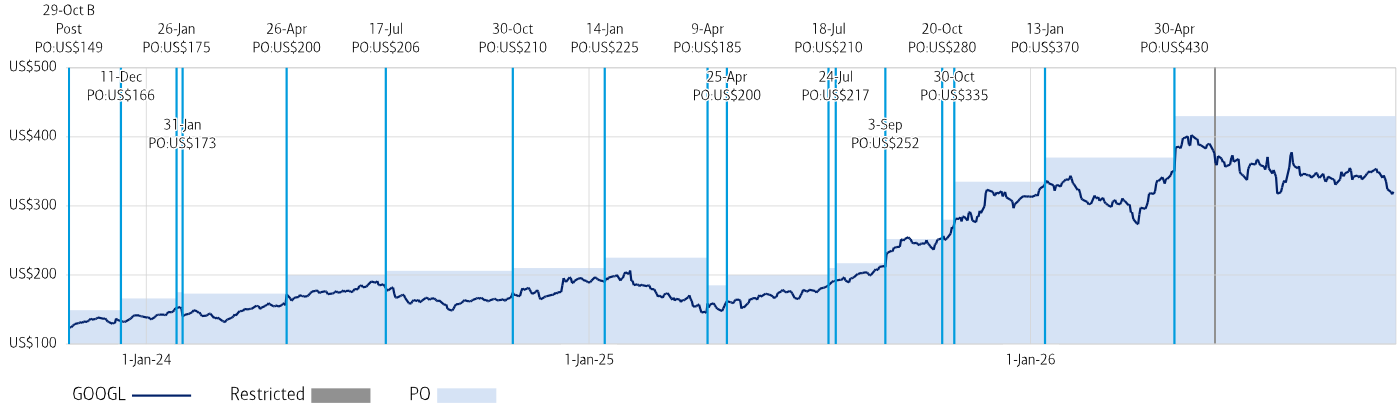
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Disclosures

Important Disclosures

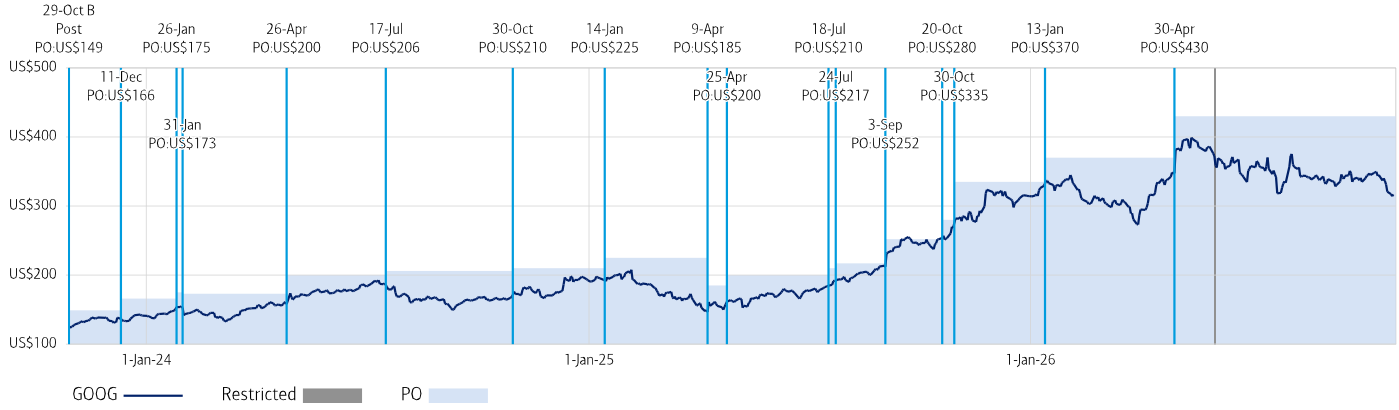
Alphabet A (GOOGL) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Alphabet C (GOOG) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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